WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

FALKLAND ISLANDS / MALVINAS

South America

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Stanley	Capital and only town; seat of the Islands' government and Legislative Assembly and the commercial and services hub for a resident population of about 3,350	Public services, retail, construction, professional services
Stanley Harbour (new port)	£109 million of contracts signed in October 2025 with Damen and RSK for a 400m floating port replacing FIPASS, on track for completion in 2028	Port logistics, fish transhipment, cruise and marine services
Falklands fishing zones and the Loligo Box	Engine of the economy: fishing and aquaculture produced £168 million, or 58.3% of GDP, in 2024, and generate over £50 million a year in licence fees and tax	Squid and finfish, vessel services, processing
North Falkland Basin (Sea Lion field, c.220 km north)	Final investment decision taken in December 2025 on a field with 319 million barrels of certified resources; Phase 1 targets peak output of about 50,000 barrels a day from 2028	Offshore oil, supply chain, logistics and engineering
Mount Pleasant Airport	International air gateway, served by a weekly LATAM flight via Punta Arenas in Chile and by the South Atlantic Airbridge to the UK	Aviation, air freight, tourism
Camp (East and West Falkland)	Farms, settlements and wildlife sites that draw leisure visitors, who reached 2,918 in 2025, the highest since 2007	Sheep farming, meat, nature and expedition tourism, lodges
East Falkland coastal waters	Proposed salmon farming zone; an independent government study estimates a 30,000-tonne industry could add £30–35 million a year, around 11% of GDP	Aquaculture, feed, processing, marine services

INVESTOR ENTRY ROUTES

- Falkland Islands Development Corporation (FIDC), the economic development agency, which supports business development and has co-commissioned an Inward Investment Review recommending a dedicated investment framework
- Simple, low tax regime: corporation tax of 21% on profits up to £500,000 and 26% above, with no VAT and no capital gains tax, and a double taxation agreement with the United Kingdom

- Petroleum licensing by the Islands' government with a transparent fiscal regime: a 9% royalty and 26% corporation tax, with no signature bonuses or production-sharing contracts
- Fisheries participation through the licensing system and joint ventures with Falklands-owned companies, which hold the controlling share of established partnerships with Spanish operators
- Public procurement under a capital programme of about £295 million over five years, covering the new port, power generation, housing and infrastructure
- Falkland pound at par with sterling, removing currency risk for sterling-based investors
- Aquaculture entry subject to the Executive Council's in-principle decision on salmon farming, following public consultation closing on 30 October 2026

MARKET-ENTRY OBSERVATION

The Falkland Islands offer one of the highest levels of output per resident anywhere, prudent public finances and a growing pipeline of major projects. GDP rose 2.7% to £288 million in 2024 (3.6% in real terms), equal to £86,050 per resident, and non-resource GDP has grown by 3.5% a year in real terms over the decade to 2024. Fishing and aquaculture remain the core of the economy at 58.3% of GDP. Two investments are now reshaping the outlook: the Sea Lion oil development, where Navitas Petroleum and Rockhopper Exploration took a final investment decision in December 2025 with $1.8 billion of funding to first oil in 2028, and a £109 million replacement port due in 2028. The 2026/27 budget of £216.3 million sits within rules that bar borrowing for operating purposes and require reserves of at least 1.5 times operating expenditure. Tourism is broadening the base, with leisure visitors at their highest since 2007 and cruise arrivals forecast to rise from 65,197 in 2025/26 to more than 74,000 by 2028/29.

The Islands' main structural challenge is their reliance on fisheries, and on squid in particular. The second Loligo season closed early in 2026, the fourth consecutive year of difficulties, the Illex catch was below its ten-year average, and EU tariffs of 6–18% on fish exports cost the industry around €15 million a year. As a result, corporation tax receipts are budgeted to ease to £19.2 million in 2026/27 from an average of about £30 million. The response is a clear diversification strategy. Sea Lion royalties and tax are expected from 2028. The new port will enable fish transhipment and allow larger cruise and expedition vessels to berth alongside. A salmon farming industry is under consultation, and the Fisheries Department is preparing measures for the 2027 seasons. For investors, this creates opportunities in oil-related services, port and marine logistics, aquaculture, seafood processing, construction and nature-based tourism.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Argentine measures targeting offshore oil activity	Since September 2026 Argentina has opened sanction proceedings against companies and suppliers linked to oil activity around the Islands, an Argentine court has issued a provisional injunction against Sea Lion, and some service contractors have withdrawn	Operators report their timetable unchanged and are replacing contractors; investors with business in Argentina should take legal advice on their exposure before participating
Variability in squid stocks	The second Loligo season closed early in 2026 for the fourth year running, and the Illex catch was below its ten-year average	Science-based management protects the long-term resource, with new measures planned for 2027; finfish, aquaculture and processing offer diversification
EU tariffs on seafood exports	More than 90% of fish exports enter the EU through Vigo and have faced tariffs of 6% on squid and up to 18% on finfish since 2021	Engagement on tariff relief continues; the new port's transhipment capacity supports added value and wider market reach, including toothfish sales to the US
Fiscal pressure from the capital programme	Corporation tax receipts are budgeted to fall, and the five-year plan shows a £55 million gap against the reserves policy	Budget rules, a targeted 10% in savings or revenue measures and expected oil revenues from 2028 support a return to balance
Remoteness and limited connectivity	Scheduled access is limited to a weekly LATAM flight via Chile and the Airbridge to the UK, with sea freight on long supply	Plan logistics and staffing early; the new port will handle larger vessels and improve supply-chain resilience

Issue	Potential Impact	Possible Mitigation
	routes	
Small labour market and housing supply	A resident population of about 3,350 and an urgent need for housing in Stanley constrain staffing	An accelerated plan for 60 plots and 30 modular homes creates construction openings; budget for work permits and accommodation
Energy costs and reliance on diesel	Electricity costs 35p per unit, and Stanley relies mainly on diesel, with wind supplying just over 30%	Plans to raise Stanley's renewable share above 50% with new turbines and battery storage open opportunities in renewables and efficiency

INVESTOR RISK NOTE

The Falkland Islands combine a stable, rules-based administration, a currency at par with sterling, high income per resident and a transparent, low-tax fiscal regime. Their risk profile reflects concentration rather than instability: fisheries dominate output and public revenue, and the recent run of weaker squid seasons, together with EU tariffs, has tightened the budget. The government is responding with firm fiscal rules, savings measures and a capital programme focused on the infrastructure that underpins future growth. The most significant compliance consideration in 2026 concerns offshore oil. Argentina has announced sanctions against companies, shareholders, directors and suppliers involved in hydrocarbon activity around the Islands, an Argentine federal court has issued a provisional injunction against Sea Lion, and Argentina has applied to the International Tribunal for the Law of the Sea. The UK government has said that Argentine domestic law does not apply within the Islands, and the operators state that their timetable is unaffected. Investors should take specialist legal advice, especially if they also operate in Argentina. Investors in tourism, fisheries services, construction and renewables face little exposure to these measures and can position for growth as the port and Sea Lion come on stream in 2028.

MARKET ACCESS

The Falkland Islands' economy is export-led and closely tied to European markets. More than 90% of fish exports pass through the port of Vigo in Spain, which sources about a third of its imported calamari from the Islands, while toothfish is sold to the United States. The Falkland pound is at par with sterling, and a double taxation agreement with the United Kingdom simplifies UK-based investment. Since 2021, seafood exports to the EU have faced tariffs of 6–18%, and engagement on relief continues. Air access is provided by a weekly LATAM service from Punta Arenas in Chile, with a monthly stop in Río Gallegos, and by the South Atlantic Airbridge to RAF Brize Norton in England. Containerised sea freight links the Islands with Europe and South America. Their position makes them a natural base for South Atlantic fisheries, expedition cruising and Antarctic logistics, and the new port due in 2028 will expand capacity for larger vessels and transhipment.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Executive Council and Legislative Assembly	The elected Members of the Legislative Assembly, returned in December 2025, set policy, approve the budget and decide on licensing, salmon farming and major projects	Primary reference point for the Islands' priorities and for major project approvals
Falkland Islands Government Chief Executive (Dr Andrea Clausen)	Leads the public service and delivery of the capital programme, including the new port	Counterpart for public procurement and infrastructure partnerships
Falkland Islands Development Corporation (FIDC)	Economic development agency supporting business development and inward investment	Standard first point of contact for market entry and local introductions
Fisheries Department (Directorate of Natural Resources)	Manages fisheries licensing, stock assessment and season decisions	Essential for any fisheries, processing or aquaculture engagement
Department of Mineral Resources	Regulates offshore petroleum licensing and approved the Sea Lion development	Key counterpart for oil-sector and supply-

Actor	Why It Matters	Waverley Engagement Angle
	programme	chain investment
Falkland Islands Tourist Board	Promotes the destination and publishes quarterly visitor statistics and forecasts to 2030	Partner for hospitality, lodge and expedition-tourism investment
Falkland Islands Chamber of Commerce	Represents local business and co-financed the Inward Investment Review	Useful channel for local partners, suppliers and market intelligence

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Falkland Islands Chamber of Commerce and the Falkland Islands Development Corporation are the main local business channels, and together they commissioned the Inward Investment Review from Queenstown Strategic Advisors. The Falkland Islands Fishing Companies Association and the Loligo Producers Group represent the core fishing industry, which operates largely through joint ventures with Spanish partners based around Vigo. The Falkland Islands Tourist Board provides market data for hospitality investors. The Falkland Islands Government Office in London is the first contact for UK-based investors. Navitas Petroleum, which has teams in London, Aberdeen and Stanley, and Rockhopper Exploration hold public briefings on Sea Lion and are a practical source of supply-chain intelligence.

INVESTOR PROFILE BEST SUITED

The Falkland Islands suit specialist investors comfortable with a small, remote and high-value market: seafood companies, processors and cold-chain operators building on one of the South Atlantic's leading fisheries; marine, port and logistics firms targeting transhipment and services around the new port; engineering and offshore supply-chain companies supporting Sea Lion, subject to legal advice on Argentine measures; aquaculture investors positioned for a decision on salmon farming; and expedition-tourism, lodge and hospitality operators serving nature and Antarctic visitors. Construction, modular-housing and renewable-energy firms can also find opportunities in the government's capital programme.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage FIDC and the Falkland Islands Government Office in London
Open dialogue on sector opportunities, local partners and the investment framework recommended by the Inward Investment Review.

STEP 2: Take legal advice on Argentine measures where relevant
Assess exposure before any oil-related activity, particularly for groups with operations, assets or contracts in Argentina.

STEP 3: Align with the port and capital programme timetable
Track procurement for the new port, power generation and housing, and position marine and logistics services for completion in 2028.

STEP 4: Build partnerships in fisheries and aquaculture
Work with Falklands-owned companies and the Fisheries Department on processing, transhipment and, subject to the government's decision, salmon farming.

STEP 5: Target tourism and energy growth
Use Tourist Board forecasts to plan lodge and expedition offers, and explore renewable and storage projects that reduce reliance on diesel.